

US 252034 — Monitor and evaluate team members against performance standards



Formulate performance standards and monitoring systems, prepare for a performance review, and conduct the review interview — the complete lesson deck.

NQF LEVEL

Level 5

CREDITS

8 credits

QUALIFICATION

National Certificate: Generic
Management

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59201



LESSON 1

Formulate performance standards and monitoring systems



Performance management — the big picture

Unit Standard 252034 — Monitor and evaluate team members against performance standards. This unit is for managers in all economic sectors — typically second-level managers such as heads of department, section heads or divisional heads who may have more than one team reporting to them.

Most organisations are moving from a once-a-year appraisal to a continuous programme of performance management. A productive performance management system is a two-way avenue of communication between a supervisor and an employee: it helps employees improve their performance, and it helps the organisation succeed in a competitive, cost-conscious environment.

The annual performance appraisal is not an end in itself — it is a means to an end. It is only the third and final part of an ongoing process that starts with performance planning (setting reasonable expectations and standards) and coaching and counselling (constructive feedback, guidance and assistance to improve performance).

According to Armstrong and Baron (1998), performance management is both a strategic and an integrated approach to delivering successful results in organisations by improving the performance and developing the capabilities of teams and individuals.

- Supervisors and managers are employed to manage the performance (effectiveness and efficiency) of the organisation and the people who make up its human resources. Unfortunately, research conducted in most organisations indicates they are not doing a very good job of it:



Performance management — the big picture ...(continued)

What employees say	%
Managers do not provide clear goals and directions	70%
Managers are poor or average in providing direction	55%
Performance expectations are not clearly defined	70%
Have never had a meaningful performance discussion with their manager	70%
The most important information needed concerns ways to improve performance	65%
Their supervisor does not follow up on the review	80%
Believe their company's system for evaluating performance is not fair	71%
Poor performance is tolerated too long	52%
Do not see a relationship between good work and rewards	80%
Believe pay should reflect performance — yet only 48% believe their company's pay system does	98%
Want more recognition of their efforts	70%
Believe their pay is not tied to performance	70%

Check yourself — Performance management — the big picture



Q1. Who is Unit Standard 252034 intended for?

- a) Learners with no work experience
- b) Second-level managers such as section heads with teams reporting to them
- c) Only human resources administrators
- d) External auditors

Q2. The annual performance appraisal is best described as...

- a) An end in itself — once it is done, performance management is complete
- b) A punishment tool for poor performers
- c) The final part of an ongoing process that starts with planning and coaching
- d) A replacement for day-to-day supervision

Q3. A productive performance management system provides...

- a) A one-way instruction channel from managers to staff
- b) A two-way avenue of communication between supervisor and employee
- c) A secret record of employee mistakes
- d) A way to avoid difficult conversations



Check yourself — Performance management — the big picture ... (continued)

Q4. According to Armstrong and Baron, performance management is...

- a) A strategic and integrated approach to improving performance and developing capabilities
- b) A yearly form-filling exercise required by law
- c) A software package for tracking attendance
- d) A disciplinary procedure

Q5. Which research finding shows why proper performance management matters?

- a) Most employees say their goals are perfectly clear
- b) 70% of employees have never had a meaningful performance discussion with their manager
- c) Almost nobody wants recognition for their efforts
- d) Only 2% believe pay should reflect performance



Components of a performance management system

An effective performance management system is built from six components that run right through the year — not a single meeting.



1 · Performance planning

Done jointly by the appraisee and reviewer at the start of the session. Targets and key performance areas for the year are agreed within the performance budget.



2 · Appraisal & reviewing

Normally twice a year — mid review and annual review. The employee first completes a self-appraisal and describes achievements in quantifiable terms; the appraiser then gives final ratings.



3 · Feedback & counselling

The employee learns about areas of improvement and whether expected performance levels are being met — open, transparent feedback plus identified training and development needs.



4 · Rewarding good performance

Public recognition and reward for good performance. This directly influences motivation, self-esteem and achievement orientation.



5 · Performance improvement plans

Fresh goals and a deadline for improvement, clearly communicated, jointly developed and mutually approved.



6 · Potential appraisal

Assesses potential for lateral and vertical movement — inputs for succession planning and job rotation through competency mapping.



Components of a performance management system ... (continued)

A good performance management system improves overall organisational performance by managing the performance of teams and individuals towards the organisation's ambitions and goals. It plays this role by:

- Ensuring employees understand the importance of their contributions to the organisational goals and objectives.
- Ensuring each employee understands what is expected from them — and whether they possess the required skills and support to fulfil those expectations.
- Properly aligning and linking objectives, and facilitating effective communication throughout the organisation.
- Facilitating a cordial, harmonious relationship between the individual employee and the line manager, based on trust and empowerment.
- It also lifts job satisfaction and employee loyalty through: regular open and transparent feedback; a clear link between performance and compensation; ample learning and development opportunities (e.g. leadership development programmes); fair and equal distribution of incentives and rewards; clear objectives set through open communication and joint dialogue; recognition of good performance; and maximum opportunities for career growth.



Components of a performance management system ... (continued)

Who benefits	How
Organisation	Improved organisational performance, employee retention and loyalty, improved productivity, overcoming barriers to communication, clear accountabilities, and cost advantages.
Manager	Saves time and reduces conflicts; ensures efficiency and consistency in performance.
Employee	Clarifies expectations; self-assessment opportunities clarify job accountabilities and contribute to improved performance; clearly defined career paths; promotes job satisfaction.



Check yourself — Components of a performance management system

Q1. When is performance planning done, and by whom?

- a) At the start of the performance session, jointly by the appraisee and reviewer
- b) At the end of the year, by the manager alone
- c) Only when an employee underperforms
- d) By Human Resources without the employee

Q2. How often are appraisals normally performed?

- a) Every week
- b) Twice a year — a mid review and an annual review
- c) Once every five years
- d) Only when problems arise

Q3. In the appraisal component, who completes the ratings FIRST?

- a) The appraiser gives final ratings before anyone else
- b) The employee completes a self-appraisal first, then the appraiser rates
- c) Human Resources rates first
- d) The employee's colleagues rate first



Check yourself — Components of a performance management system ... (continued)

Q4. Why is rewarding good performance a vital component?

- a) It reduces the salary bill
- b) It determines work motivation and affects self-esteem and achievement orientation
- c) It removes the need for feedback
- d) It replaces performance planning

Q5. What does potential appraisal provide inputs for?

- a) Payroll deductions
- b) Office seating plans
- c) Succession planning and job rotation
- d) Leave scheduling



Developing performance standards — steps 1 to 3

There is an eight-step process for developing employee performance standards that support organisational goals. Do not begin at the bottom of the organisation with the position description — begin by looking at your department's goals and objectives.



Step 1 · Look at the overall picture

Gather information relating to your department's general outcome goals as outlined in its departmental plan — before writing any individual standard.



Step 2 · Determine work-unit accomplishments

Identify the unit's accomplishments — its products or services. Use the goal cascading method to determine unit goals from departmental goals; it works best where clear goals exist in strategic and annual performance plans.



Step 3 · Individual accomplishments

Determine how each individual contributes to the unit's goals using a role-results matrix — a table identifying the results each work-unit member must produce.



Developing performance standards — steps 1 to 3 ... (continued)

Example — Goal cascading — XY Insurance (claims division)

- Departmental goal: to enhance customer service standards.
 - Team objective 1: reduce claim processing time to 2 days by end of 30 September.
 - Team objective 2: reduce claims errors by 10% by 30 June.
 - Team objective 3: handle and solve customer complaints within 24 hours.
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- Apart from unit objectives, the supervisor must determine the products and services the unit produces (knowing the customer quality standards for them) and the process the unit follows — presented on a flow chart that maps each successive step to the final product or service.
 - Building the role-results matrix: (1) list the unit's products or services across the top row; (2) list each member or job position down the left column; (3) for each cell ask — what must this member produce or perform to support this product or service?; (4) list those accomplishments in the cell — they are candidate performance elements for the employee's plan.
 - All performance elements should be quantifiable or verifiable, and described as accomplishments (nouns), not activities (verbs).
 - The supervisor must check the job description of each team member while developing the role matrix.



Check yourself — Developing performance standards — steps 1 to 3

Q1. Where does the eight-step process say you should START when developing performance standards?

- a) With the individual's position description
- b) With the department's goals and objectives — the overall picture
- c) With the salary budget
- d) With last year's disciplinary records

Q2. What is goal cascading?

- a) Setting goals only for senior managers
- b) Turning departmental goals into unit goals, and unit goals into individual contributions
- c) Deleting goals that were not achieved
- d) Announcing goals at a year-end function

Q3. In the XY Insurance example, 'to enhance customer service standards' is the departmental goal. Which is one of the TEAM objectives derived from it?

- a) Open five new branches
- b) Reduce claim processing time to 2 days by end of 30 September
- c) Double the marketing budget
- d) Hire a new claims director



Check yourself — Developing performance standards — steps 1 to 3 ... (continued)

Q4. Besides unit objectives, what must the supervisor present on a FLOW CHART in step 2?

- a) The office seating plan
- b) The work process — each successive step ending with the unit's final product or service
- c) The org chart of directors
- d) The leave roster

Q5. Performance elements should be described as...

- a) Activities (verbs) that keep people busy
- b) Accomplishments (nouns) that are quantifiable or verifiable
- c) Personality traits
- d) Vague ambitions



Step 4 — elements, weights and the critical test

In step 4 you identify which accomplishments become elements in the performance plan, select the type of each element, and assign weights or priorities. All employees must have at least one critical element in their plan, and critical elements must address individual performance only.

Once elements are classified as critical, non-critical or additional, prioritise them so work units and employees know which matter most — one way is to distribute 100 percentage points across the elements based on each one's importance to the organisation.

- The critical test — is the element a major component of the work? If yes, it might be critical.
- Does the element address individual performance only? Elements measuring group performance cannot be critical (except for supervisors under certain circumstances).
- If the employee performed unacceptably on the element, would there be serious consequences for completing the organisation's work? If errors affect the unit's accomplishments, it may be critical.
- Does the element require a significant amount of the employee's time? If yes, it might be critical.
- The supervisor must verify assignments against the job descriptions, or ask for team or individual input.



Step 4 — elements, weights and the critical test ...(continued)

Employee assignment or responsibility	Type of element	Priority points
Receive, direct and relay telephone and fax messages	Critical (CE)	40
Pick up and deliver the mail	Critical (CE)	40
Maintain the general filing system and file all correspondence	Additional (AE)	10
Maintain an adequate inventory of office supplies	Additional (AE)	5
Coordinate the repair and maintenance of office equipment	Additional (AE)	5
Total		100



Check yourself — Step 4 — elements, weights and the critical test

Q1. Which statement about critical elements is TRUE?

- a) Group performance is usually a critical element
- b) Employees may have zero critical elements
- c) Every employee must have at least one critical element, addressing individual performance only
- d) Critical elements never carry priority points

Q2. How does the guide suggest prioritising elements?

- a) Alphabetical order
- b) Distribute 100 percentage points across the elements by importance to the organisation
- c) Let each employee pick their favourite
- d) All elements get equal points automatically

Q3. In the receptionist example, how many priority points does 'receive, direct and relay telephone and fax messages' carry?

- a) 5
- b) 10
- c) 40
- d) 100



Check yourself — Step 4 — elements, weights and the critical test ... (continued)

Q4. Which question is part of the CRITICAL test for an element?

- a) Is the element fun to perform?
- b) Would unacceptable performance on it have serious consequences for the organisation's work?
- c) Was the element used last year?
- d) Does the element sound impressive?

Q5. Where must the supervisor verify the employee's assignments and responsibilities?

- a) In the newspaper
- b) Against the job descriptions — or by asking for team or individual input
- c) In the competitor's handbook
- d) Nowhere — memory is enough



Step 5 — determine work-unit and individual measures

Measures are the yardsticks used to determine how well work units and employees produced or provided products or services. First determine the general measure(s) that apply to each element, then determine how to measure it specifically.

If you can measure an accomplishment with numbers, record the form of measurement. If you can only describe performance (observe and verify), clarify who will appraise the performance and the factors they will appraise.



Quality

How well the work was performed — accuracy, appearance, usefulness or effectiveness. Includes error rates (number or percentage of errors allowable per unit of work) and customer satisfaction rates from surveys.



Quantity

How much work was produced — expressed as a number of products or services, or a general result to achieve.



Timeliness

How quickly, when, or by what date the employee or work unit produced the work.



Cost-effectiveness

Whether the result was achieved within the resources and budget available.

- Team involvement is required when determining measures.



Step 5 — determine work-unit and individual measures ... (continued)

Points	Responsibility	Element	General measure	Specific measure
40	Receive, direct and relay telephone and fax messages	Critical (CE)	Timeliness	Number of rings for incoming calls · seconds before transfer to the right person
40	Pick up and deliver the mail	Critical (CE)	Timeliness	Number of minutes to pick up and deliver mail
10	Maintain the general filing system and file all correspondence	Additional (AE)	Quality	Ratio of filing errors



Check yourself — Step 5 — determine work-unit and individual measures

Q1. What are measures, in performance management?

- a) The yardsticks used to determine how well work was produced or provided
- b) The punishments for poor performance
- c) The office floor dimensions
- d) The salary scales of the unit

Q2. Which set lists the FOUR general measures of performance?

- a) Speed, effort, attitude, attendance
- b) Quality, quantity, timeliness, cost-effectiveness
- c) Loyalty, punctuality, neatness, friendliness
- d) Profit, turnover, headcount, floor space

Q3. In the receptionist example, 'ratio of filing errors' is a specific measure of which general measure?

- a) Quantity
- b) Timeliness
- c) Quality
- d) Cost-effectiveness



Check yourself — Step 5 — determine work-unit and individual measures ... (continued)

Q4. 'Number of minutes to pick up and deliver mail' measures...

- a) Quality
- b) Timeliness
- c) Quantity
- d) Cost-effectiveness

Q5. If performance can only be DESCRIBED rather than counted, what must you clarify?

- a) Nothing — skip the element
- b) Who will appraise the performance and which factors they will appraise
- c) The employee's shoe size
- d) The company's tax number



Step 6 — develop work-unit and individual standards

Performance standards are management-approved expressions of the performance thresholds, requirements or expectations that employees must meet to be appraised at particular levels of performance.

Before writing the Fully Successful standard, know how many levels your appraisal programme uses. With two levels, Fully Successful is a single point — at or above it is Fully Successful, below it is Unacceptable. With five levels, Fully Successful is a range: above the range earns higher levels; below it is Minimally Successful or Unacceptable.

- Measures must be clear and concise — it is easy to overlook critical detail. 'Meeting sales targets' sounds simple: is that the annual target, or all 12 monthly targets?
- After development, standards must be recorded in the format the organisation specifies, filed, and treated as confidential.
- Team involvement is required when developing standards.



Step 6 — develop work-unit and individual standards ... (continued)

Element	Specific measure	Minimally successful	Fully successful	Exceeds fully successful
Receive, direct and relay calls (CE · 40 pts)	Rings before answering · transfer lead time	4–5 rings · 6–10 seconds	3 rings · 5 seconds	1–2 rings · 2–4 seconds
Pick up and deliver the mail (CE · 40 pts)	Minutes lead time	40–60 minutes	30 minutes	15–25 minutes
Maintain general filing system (AE · 10 pts)	Ratio of filing errors	12%–20%	5%–10%	1%–3%



Check yourself — Step 6 — develop work-unit and individual standards

Q1. A performance standard is best defined as...

- a) A guess about what employees might do
- b) A management-approved expression of the threshold employees must meet for a performance level
- c) An informal chat about work
- d) The company dress code

Q2. In a five-level appraisal programme, the Fully Successful standard is described as...

- a) A single point — anything below is unacceptable
- b) A range — above it earns higher levels, below it lower levels
- c) Whatever the employee decides
- d) A secret number known only to HR

Q3. For the receptionist, the FULLY SUCCESSFUL standard for answering calls is...

- a) 4–5 rings and 6–10 seconds transfer time
- b) 3 rings and a 5-second transfer lead time
- c) 1–2 rings and 2–4 seconds transfer time
- d) Never answering the phone



Check yourself — Step 6 — develop work-unit and individual standards ... (continued)

Q4. Which filing error ratio EXCEEDS Fully Successful?

- a) 12%–20%
- b) 5%–10%
- c) 1%–3%
- d) 25%+

Q5. 'Meet sales targets' is a weak standard because...

- a) Sales should never be measured
- b) It is too harsh on employees
- c) It is not specific — annual target or all 12 monthly targets?
- d) Targets are illegal in South Africa



Step 7 — monitor performance and give feedback

Monitoring performance means measuring performance and providing feedback to employees. Appraisal programmes must provide ongoing appraisal — including one or more progress reviews per appraisal period — and beyond that, supervisors and employees should discuss performance informally and often.

You may have built great elements and standards through the first six steps, and then find monitoring an element is impossible, too costly or too time-consuming — if so, rethink the specific measures.

Monitoring is not a witch-hunting exercise to get rid of your enemies. After setting up the system, communicate it to all team members: at shift start/end meetings, via email, on notice boards, in a formal letter, and during induction and coaching.

- To complete this step: determine what data to collect for each element, its source, and whether to collect all data or a sample; decide when it is collected, by whom, and who receives it; review existing reports as feedback reports; create feedback tables or graphs where applicable; and design feedback processes that give feedback automatically.
- Monitoring methods: (1) reviewing work — total output or samples; (2) observing work activities; (3) reading reports, charts, time sheets, work records or logs; (4) employee self-reporting on progress; (5) surveying other units, the public or clients; (6) noting and investigating complaints and commendations.
- Some monitoring is ongoing to catch problems early (checking samples or observing several times a day or week); other monitoring is at wider intervals — monthly or quarterly reviews, or occasional random checks.
- Team involvement is required when setting up the monitoring methods.



Step 7 — monitor performance and give feedback ... (continued)

Element	Feedback sources for monitoring
Receive, direct and relay calls	Supervisor observation (360° tool) · customers · peers
Pick up and deliver the mail	Supervisor observation (360° tool) · customers · peers
Maintain the filing system	Supervisor observation (360° tool) · peers · data from the automated system



Check yourself — Step 7 — monitor performance and give feedback

Q1. What does monitoring performance mean?

- a) Watching employees secretly to catch them out
- b) Measuring performance and providing feedback to employees
- c) Counting who arrives first at the office
- d) Reading employees' private messages

Q2. Which of these is a legitimate monitoring method?

- a) Reviewing work samples and reading reports, time sheets and logs
- b) Guessing based on how friendly the employee is
- c) Only listening to office gossip
- d) Rating everyone the same to save time

Q3. When planning data collection for an element you must decide...

- a) What data to collect, its source, sample or full data, when, by whom, and who receives it
- b) Only the font of the report
- c) Which employees to exclude from measurement
- d) How to keep results secret from the employee



Check yourself — Step 7 — monitor performance and give feedback...(continued)

Q4. What is the difference between ongoing and spaced monitoring?

- a) There is none
- b) Ongoing monitoring catches problems early (e.g. daily/weekly checks); spaced monitoring runs monthly, quarterly or at random
- c) Ongoing monitoring is illegal
- d) Spaced monitoring only applies to managers

Q5. How should a new performance monitoring system reach the team?

- a) Keep it secret so results stay 'natural'
- b) Communicate it via meetings, email, notice boards, formal letters, induction and coaching
- c) Only tell the best performers
- d) Publish it after the first dismissals



360-degree (multi-rater) feedback

360-degree feedback — also known as multi-rater feedback — is employee development feedback from colleagues, peers and managers, plus self-assessment, and sometimes clients, volunteers or other stakeholders.

Senior managers (including executive directors) assess others but often receive little feedback themselves — 360-degree feedback lets any individual understand how their effectiveness as an employee, manager or co-worker is viewed by others.

- What it can achieve: a broad perspective of how the person is perceived and their impact on others — positive and negative.
- It encourages open feedback that is perceived as more valid and objective, leading to acceptance of results and required actions.
- It clarifies critical performance aspects, reinforces desired competencies and identifies strengths the organisation can use.
- It supports continuous improvement and focuses the development agenda for the individual, team or whole organisation.
- It exposes gaps between self-perception and the perception of the manager, peers or direct reports.
- Feedback from many people in various job functions reduces discrimination (race, age, gender) and the 'horns and halo' effect, where a supervisor rates on the most recent interactions only.
- Why organisations may NOT adopt it: multiple assessors cost organisational time; people may not be ready to give or receive honest feedback (some cultures avoid feedback to superiors); tying it to pay makes people hesitant to participate; and written, anonymous feedback cannot be queried for clarification.



Check yourself — 360-degree (multi-rater) feedback

Q1. What is 360-degree feedback?

- a) Feedback given while walking in a circle
- b) Feedback from colleagues, peers, managers, self-assessment and sometimes clients
- c) Feedback given once every 360 days
- d) Feedback only from the CEO

Q2. Why is 360-degree feedback especially useful for SENIOR managers?

- a) They asked for it first
- b) They assess others but often receive little adequate feedback themselves
- c) It replaces their performance bonus
- d) It shortens their working day

Q3. What is the 'horns and halo' effect that 360° feedback reduces?

- a) Decorating the office at year-end
- b) A supervisor rating performance based on the most recent interactions with the employee
- c) Employees wearing headphones at work
- d) Rating everyone identically



Check yourself — 360-degree (multi-rater) feedback ...

(continued)

Q4. Which gap does 360-degree feedback expose?

- a) The gap between the branch and head office
- b) The gap between self-perception and how the manager, peers or direct reports perceive the person
- c) The gap in the parking lot
- d) The gap between departments' budgets

Q5. Why might an organisation choose NOT to use 360-degree feedback?

- a) It gives too little information
- b) It is always inaccurate
- c) It takes organisational time, people may fear honest feedback, and anonymous written feedback cannot be queried
- d) It is illegal in most industries



Step 8 — check the plan, involve the team, record the standards

Once the performance plan is developed, check your work against this list: are the critical elements truly critical — does failure mean overall performance is unacceptable? Is the range of acceptable performance clear, quantifiable, observable and verifiable? Are the standards attainable and reasonable, yet challenging enough to require real effort? Are they fair and comparable to similar positions, with some margin of error? Are they applicable — can the appraiser actually use them, and manage the data collected? Will work units and employees understand what is required? Are elements and standards flexible enough to adapt to changed resources or objectives? And if your programme appraises above Fully Successful, is that standard surpassable?

The process of setting standards should include those responsible for meeting them — well-selected, trained employees know more about what is achievable than anyone else.

- After finalising the standards, record and document them properly — in the format the organisation specifies.
- Confidentiality of performance standards must be adhered to, in line with organisational policies and procedures.



Step 8 — check the plan, involve the team, record the standards ... (continued)

Team member	Supervisor
Helps establish performance goals and standards — a 'self-contract' for achievement and a commitment to deliver a result for the team	Ensures team goals are achievable but challenging enough to meet organisational needs and give a sense of accomplishment
Develops methods to measure results and checkpoints for control purposes	Helps balance the complexity of measures and controls with the value received
Outlines the action required to accomplish goals and standards	Participates with the team to test the action plan's validity against alternatives
Reports progress as work is performed; seeks guidance and assistance when needed; adjusts the plan as required	Follows the progress of the work; reinforces achievement and assists in problem solving; ensures targets are met or modified if circumstances indicate



Check yourself — Step 8 — check the plan, involve the team, record the standards

Q1. What is the purpose of step 8?

- a) To start the process over
- b) To check that the elements and standards are effective and meet regulatory requirements
- c) To delete the performance plan
- d) To set the year-end party date

Q2. Why should team members participate in setting the standards they must meet?

- a) So they can make the standards easy
- b) Well-selected, trained employees know more about what is achievable than anyone else
- c) Because the supervisor is too busy
- d) It is only a courtesy with no real value

Q3. Which is a TEAM MEMBER role in standard-setting?

- a) Ensures team goals meet organisational needs
- b) Helps establish goals and standards, develops measures, outlines actions and reports progress
- c) Balances measures and controls with value received
- d) Follows progress and reinforces achievement



Check yourself — Step 8 — check the plan, involve the team, record the standards ...(continued)

Q4. Which is a SUPERVISOR role in standard-setting?

- a) Signs a self-contract for personal achievement
- b) Reports own progress weekly
- c) Ensures targets are met — or modified if circumstances so indicate
- d) Writes every standard alone

Q5. How must finalised performance standards be handled?

- a) Posted on social media
- b) Recorded in the organisation's specified format, filed, and kept confidential per policy
- c) Memorised and never written down
- d) Emailed to competitors



LESSON 2

Prepare for a performance review of a team member



The performance appraisal interview

A performance appraisal interview is the first stage of the performance appraisal process: the employee and manager sit face to face to discuss all aspects of the employee's performance and thrash out any differences in perception or evaluation. It gives the employee a chance to respond to the evaluation, and the manager a chance to explain it.

The employee being evaluated is the appraisee; the person doing the evaluation — usually the manager — is the appraiser. Both prepare: the appraisee through self-evaluation, the appraiser through an objective evaluation.

The outcome of the appraisal process is the grade decided for the employee, and with it the salary increase or bonus potential awarded.

- Give at least a week's notice so the employee can review their work — more for senior or specialist positions.
- Stress that the appraisal is designed mainly to help the employee understand their own performance.
- Work out a mutually agreeable time; allow enough time in both schedules for the whole interview (45–90 minutes).
- Choose a private, comfortable venue without interruptions. Do not sit behind a desk — it transmits a 'superior-subordinate' message; sit together at a table.
- Explain thoroughly how the exercise will run, define the roles, and make clear it is a two-way conversation with your undivided attention.



Check yourself — The performance appraisal interview

Q1. In an appraisal, who is the 'appraisee'?

- a) The person doing the evaluation
- b) The employee being evaluated
- c) The HR administrator
- d) An external consultant

Q2. How much notice should an employee get before their appraisal interview?

- a) None — surprise keeps it honest
- b) At least a week, so they can review their work
- c) An hour
- d) A full year

Q3. Why should you avoid sitting behind a desk during the interview?

- a) Desks are usually too small
- b) It transmits a non-verbal 'superior-subordinate' message of formality
- c) It blocks the camera
- d) It is against labour law



Check yourself — The performance appraisal interview ... (continued)

Q4. What is the outcome of the appraisal process?

- a) A new job description
- b) The employee's grade, which feeds the salary hike or bonus decision
- c) A team-building event
- d) A written warning in every case

Q5. How long should you set aside for an appraisal interview?

- a) 5 minutes
- b) 45 to 90 minutes depending on the complexity and seniority of the position
- c) A full working week
- d) It must never be scheduled



The preliminary assessment

Before the interview, the supervisor conducts a preliminary assessment of the employee's performance against the agreed standards — and records the findings for the review meeting and future reference.

- Collect all the information you need for the interview.
- Review the relevant job description — then weed out the important duties from the unimportant.
- Compare the employee's performance against these criteria.
- Look at previous appraisals and whether past goals were met — but do not let old evaluations bias your view of current performance.
- Request comments from other managers who have observed the employee's work.
- Complete the appraisal form so the interview is organised — but do NOT draft the improvement plan yet; that is developed WITH the employee in the interview.
- Observe, observe, observe: be balanced and fair; avoid incidents that are too old, too new or from an atypical period; assess job performance, not personality; when in doubt, let the facts guide you; appraise only if you have enough information.
- Record findings on a preliminary worksheet: job description changes, professional goals, employee strengths, areas for improvement, organisational strengths/weaknesses affecting the position, and ways the supervisor or organisation can assist.



Check yourself — The preliminary assessment

Q1. What must the supervisor do BEFORE the performance review interview?

- a) Nothing — spontaneity is best
- b) Conduct a preliminary assessment of performance against agreed standards
- c) Decide the final rating and lock it in
- d) Ask the employee to write their own final review

Q2. Why look at previous performance appraisals carefully?

- a) To copy last year's comments word for word
- b) To check whether past goals were met — without letting old evaluations bias the current one
- c) To find reasons to reduce the salary
- d) Previous appraisals must never be read

Q3. Why should you NOT develop the improvement plan during preliminary assessment?

- a) Improvement plans are HR's job only
- b) The plan is developed in the interview itself, with primary responsibility on the employee
- c) Improvement plans are optional paperwork
- d) It saves printing costs



Check yourself — The preliminary assessment ...(continued)

Q4. When you dislike aspects of an employee's personality, you should...

- a) Rate them lower to be safe
- b) Assess job performance, not personality — and let facts guide your opinion
- c) Skip their appraisal
- d) Ask a friend to do the rating

Q5. Which incidents can mislead a performance rater?

- a) Incidents that are too old, too new, or from an atypical work period
- b) Incidents witnessed by more than one manager
- c) Incidents recorded in the job description
- d) Incidents the employee reported themselves



Employee self-preparation

The employee must also be given the chance to prepare for the review. A self-appraisal preparation form guides their thinking about past performance and the year ahead — and self-evaluation stimulates discussion about how supervisor and employee can work together to increase effectiveness.

- Past performance: How well did I achieve my objectives? What are my key accountabilities, in order of importance? What were my major accomplishments and their measurable results?
- Have any new accountabilities been added or removed this year? Were there special circumstances that helped or hindered my work?
- What knowledge and skills did I develop, and how did I apply them? What development goals did I achieve?
- Problems and support: What problems did I meet? Could my manager give more guidance or help? Are my skills and abilities being fully used?
- The future: What are my goals for next year, and how do they fit the department's goals? Where do I need more experience or training? What direction should my career take? Am I ready for additional responsibilities?
- Optional salary dialogue: How do I assess my current salary relative to my performance, and what changes are needed to be recommended for pay improvements?



Check yourself — Employee self-preparation

Q1. Why must the employee get a chance to prepare for the review?

- a) So they can dispute every point in advance
- b) Self-evaluation stimulates discussion on working together more effectively
- c) It is only a legal formality
- d) So the manager can skip preparation

Q2. Which question belongs to the employee's PAST-performance preparation?

- a) What are my goals for next year?
- b) What were my major accomplishments and their measurable results?
- c) What training do I want next year?
- d) Which colleagues should be promoted?

Q3. Which question belongs to FUTURE-performance preparation?

- a) How well did I achieve last year's objectives?
- b) What were the special circumstances that hindered me?
- c) In what aspects of my job do I need more experience and training?
- d) What did I accomplish this year?



Check yourself — Employee self-preparation ...(continued)

Q4. The self-appraisal should list key accountabilities...

- a) In alphabetical order
- b) In order of importance to the job and department
- c) In order of how enjoyable they are
- d) Only if they changed this year

Q5. Is a salary discussion part of the self-preparation questions?

- a) Yes — it is optional: assessing current salary relative to performance and expectations for improvement
- b) No — salary may never be mentioned
- c) Yes — the employee sets their own increase
- d) Only if HR attends the interview



Feedback methods and the BISA model

During preparation the supervisor decides how to give feedback. Feedback that is sent in a useful way is not rejected — but no matter how accurate it is, a defensive receiver gets no value from it. Give feedback so the receiver can hear it clearly and objectively.

The BISA model structures non-judgmental feedback: B = Behaviour — identify the specific behaviour you observed; I = Impact — communicate the impact it had on the people present; S = Silence — pause so the person can process and respond; A = Alternatives — ask what could have been done differently, then offer your own suggestions.

- Focus on the behaviour, not the person — 'she cried during the interview', not 'she's a cry baby'.
- Describe rather than judge; be specific rather than general so the receiver knows exactly what to continue or change.
- Feedback must be well timed — as soon as possible after the event — and at the right place: praise in public, criticise in private.
- Only give feedback on behaviour the person can change; keep the amount usable ('less is more'); share ideas rather than give advice; and check the receiver understood.
- Start with the positive: acknowledge specific good contributions and their impact — more meaningful than a generic 'Good job!'.
- Documents to prepare: the Employee Goal Review & Planning form, the Peer Assessment form, the Performance Review form, and the Interview Questionnaire with guiding questions.



Check yourself — Feedback methods and the BISA model

Q1. In the BISA model, what does the S stand for?

- a) Salary — discuss pay immediately
- b) Silence — pause so the person can process and respond
- c) Sanctions — issue a warning
- d) Signature — sign the form

Q2. Which feedback statement follows the guidelines?

- a) 'You are useless at client work.'
- b) 'You're handling everything wrong.'
- c) 'Instead of ignoring your supervisor's comments, it might help to discuss the situation in detail.'
- d) 'Everyone thinks you have a bad attitude.'

Q3. The general rule about where to give feedback is...

- a) Praise in public, criticise in private
- b) Criticise in public so others learn
- c) Never praise anyone
- d) Give all feedback by SMS



Check yourself — Feedback methods and the BISA model ... (continued)

Q4. Why is feedback on unchangeable things (like a stutter) discouraged?

- a) It takes too long to say
- b) It only frustrates the receiver, who cannot change it
- c) It is too cheap
- d) It must be saved for the CEO

Q5. Which documents should be ready for a performance review interview?

- a) Goal review & planning form, peer assessment form, performance review form and interview questionnaire
- b) Only the employee's payslip
- c) The office lease agreement
- d) The company's marketing brochure



LESSON 3

Conduct a performance review interview



Opening the interview

The appraisal interview improves job performance by communicating appreciation for the employee's contribution, informing them of the overall appraisal and its criteria, opening a proactive dialogue about correcting weaknesses and building on strengths, clarifying expectations, strengthening the working relationship, and setting goals for the coming year.

- Open by establishing rapport. Explain the purpose of the interview and what will take place — some interviewers prepare a standard opening script.
- Emphasise that the interview is part of an ongoing, two-way feedback process.
- Discuss the job in general first and agree on its key tasks, content and responsibilities.
- Start with areas of agreement and strengths, then move gradually into disagreements and performance weaknesses.
- Use specific, actual examples of good performance — but avoid the pattern where praise always signals incoming criticism.
- If the employee is quiet or nervous, ask how particular parts of the job are performed or how specific incidents were handled; give plenty of openings for their own issues, questions and improvement suggestions.



Check yourself — Opening the interview

Q1. How should a performance review interview open?

- a) With the list of everything that went wrong
- b) By establishing rapport and explaining the purpose and process
- c) With the salary decision
- d) In total silence

Q2. What should be discussed FIRST, before any ratings?

- a) The job in general — agreeing its key tasks, content and responsibilities
- b) The employee's personality
- c) Office gossip
- d) The manager's own career

Q3. Why avoid always following praise with criticism?

- a) Praise becomes a warning sign and loses its value
- b) Criticism is never allowed
- c) Praise must be saved for year-end
- d) It makes interviews too short



Check yourself — Opening the interview ...(continued)

Q4. The interview should be emphasised as...

- a) A one-way verdict from management
- b) Part of an ongoing, two-way feedback process
- c) A disciplinary hearing
- d) A confidential HR investigation

Q5. A quiet, nervous employee should be...

- a) Skipped over quickly
- b) Asked to comment on how specific parts of the job or incidents were handled
- c) Rated lower for poor communication
- d) Sent back to their desk



Handling disagreement and rating fairly

Focusing on actual job behaviour keeps the emotional temperature down. Employees may react unpredictably — the classic reactions are 'fight' (defend and argue back) or 'flight' (avoid the issue or pretend to agree). Both must be resolved during the interview.

- Fight: hear the employee out, acknowledge and note what was said, then restate the evidence behind the assessment.
- Flight: persist with more direct questions until you get to the bottom of the issue — do not move on until you have.
- Where performance problems exist, explore the specific gap between current and required performance, ways to close it, and the consequences if it is not closed.
- Never link behaviour to personality — that is when interviews go out of control. Address every relevant matter; nothing may be 'left hanging'.
- If a rating disagreement cannot be resolved, record that it occurred — do not escape with an 'average' rating. Consider follow-up action, and be ready to modify your appraisal if the self-appraisal sheds new light.
- Rating techniques: be factual with specific examples; consider day-in, day-out performance over the whole period — not one or two outstanding events; rate the employee, not the importance of the job; avoid rating consistently high or low; build on strength without avoiding needed improvement; the immediate manager conducts the appraisal with no one else present; both parties sign the form.



Check yourself — Handling disagreement and rating fairly

Q1. What are the two classic reactions when an employee disagrees with feedback?

- a) Fight (argue back) and flight (avoid or pretend to agree)
- b) Laughing and crying
- c) Resigning and promotion
- d) Silence and applause

Q2. How should you handle a 'fight' reaction?

- a) Argue louder until you win
- b) Hear the employee out, acknowledge and note it, then restate the evidence for the assessment
- c) End the interview immediately
- d) Change the rating to keep the peace

Q3. If a rating disagreement cannot be resolved, you should...

- a) Issue an 'average' rating to escape the conflict
- b) Note that the disagreement occurred and consider follow-up action
- c) Delete the element from the plan
- d) Ask the employee to leave



Check yourself — Handling disagreement and rating fairly ...

(continued)

Q4. Which is a correct rating technique?

- a) Let one outstanding incident define the whole year
- b) Rate people in 'better' jobs higher automatically
- c) Consider day-in, day-out performance over the whole rating period
- d) Rate everyone consistently high to stay popular

Q5. Who conducts the appraisal, and who signs the form?

- a) The whole team conducts it; nobody signs
- b) The immediate manager conducts it with no one else present; both manager and employee sign
- c) HR conducts it; only HR signs
- d) An external consultant conducts it; the CEO signs



Action plans, closing and records

After agreeing the ratings, develop action plans to address performance gaps — in co-operation with the employee. You are NOT dictating a plan: you are working together on a viable plan focused on the most important goals, not every area that could improve.

By the time the appraisal is over, the employee must be able to answer the two most important questions about their work: HOW AM I DOING? and WHERE AM I GOING?

- Choose goals that are specific and practical; set a timetable and ways of measuring achievement.
- Watch for obstacles outside the employee's control — improvement may need education, job experience, counselling, greater responsibility or even a new supervisor.
- Close by summarising the key issues and agreed actions; develop the action plan and give copies to the employee and anyone affected (such as trainers); set a timetable for review and follow-up.
- Complete the rating form; ask the employee to sign it (note if they decline); invite them to add or attach comments; give them a copy; keep appraisals on file for 3–5 years.
- Assessment criteria you must meet: performance is monitored against agreed standards using monitoring systems; findings on positive and negative aspects are recorded accurately, fairly and honestly for report-back and follow-up; an action plan addressing gaps and building on positives is agreed with the employee; and agreed actions are documented and signed by both parties.



Check yourself — Action plans, closing and records

Q1. How is the action plan developed?

- a) Dictated by the manager before the interview
- b) In co-operation with the employee, focused on the most important goals
- c) Copied from another employee's plan
- d) Downloaded from the internet

Q2. The two questions every employee should be able to answer after the appraisal are...

- a) 'Who is to blame?' and 'When is lunch?'
- b) 'How am I doing?' and 'Where am I going?'
- c) 'What is my colleague earning?' and 'When is my leave?'
- d) 'Why me?' and 'Who decided this?'

Q3. What happens if the employee refuses to sign the completed rating form?

- a) The appraisal is cancelled
- b) Note that the invitation to sign was made, and let them attach comments
- c) The employee is dismissed
- d) The form is destroyed



Check yourself — Action plans, closing and records ...

(continued)

Q4. How long should appraisal records be kept on file?

- a) They should be shredded immediately
- b) One month
- c) 3 to 5 years
- d) 50 years

Q5. Which sequence satisfies the unit's assessment criteria for recording results?

- a) Record findings accurately, fairly and honestly; agree an action plan with the employee; document and sign the agreed actions
- b) Record only negative findings; file them secretly
- c) Agree actions verbally and never write them down
- d) Sign the form before the interview happens



Unit quiz — monitor and evaluate team members

Answer every question correctly to complete the unit. The quiz covers performance standards, monitoring systems, preparing for reviews, and conducting the review interview.



Unit quiz — 10 questions

Q1. Performance management is best described as...

- a) A once-a-year form-filling exercise
- b) An ongoing communication process between supervisors and employees throughout the year
- c) A disciplinary code
- d) A software licence

Q2. Which is the correct ORDER of the ongoing performance process?

- a) Appraisal !' planning !' coaching
- b) Performance planning !' coaching and counselling !' appraisal
- c) Coaching !' appraisal !' planning
- d) Appraisal only, repeated annually

Q3. In the eight-step process, which step converts accomplishments into weighted performance elements?

- a) Step 1
- b) Step 4
- c) Step 7
- d) Step 8



Unit quiz — 10 questions ...(continued)

Q4. Which element type may NOT measure group performance (with narrow exceptions)?

- a) Additional elements
- b) Non-critical elements
- c) Critical elements
- d) Optional elements

Q5. Error rates and customer satisfaction rates are examples of which general measure?

- a) Quantity
- b) Quality
- c) Timeliness
- d) Cost-effectiveness

Q6. Which monitoring approach adds feedback from peers, self-assessment and sometimes clients?

- a) Time-sheet review
- b) 360-degree (multi-rater) feedback
- c) Random spot fines
- d) Annual staff party



Unit quiz — 10 questions ...(continued)

Q7. Before the review interview, the supervisor's preliminary assessment should NOT include...

- a) Reviewing the job description
- b) Comparing performance against criteria
- c) Drafting the final improvement plan alone
- d) Requesting comments from other managers

Q8. In the BISA model, 'B' means...

- a) Blame — identify who is at fault
- b) Behaviour — the specific, factual behaviour you observed
- c) Bonus — discuss rewards first
- d) Balance — average the ratings

Q9. During the interview, where should discussion START?

- a) Areas of agreement and strengths
- b) The biggest failure of the year
- c) Salary demands
- d) Personality flaws



Unit quiz — 10 questions ...(continued)

Q10. Which set of actions correctly closes a performance review?

- a) Summarise key issues, agree the action plan with copies, set follow-up dates, sign the form, keep it on file 3–5 years
- b) End abruptly and file nothing
- c) Announce the rating and leave
- d) Ask the employee to write the whole report alone



Plan. Coach. Appraise.

You can now formulate performance standards, build a monitoring system, prepare for a review, and conduct a fair, constructive performance review interview. Complete the unit quiz and your Portfolio of Evidence assignment in ITSS Learn.